



However, all the constituents have a different influence on Nifty 50. All have different weights assigned to them. For instance, HDFC bank weightage 13.21%, Indusind Bank 0.51%.^[3] I mean that the price movements in some constituents have a higher consequence than the price movements of others.

Below is a representation of the weights assigned to all the constituents of Bank Nifty:

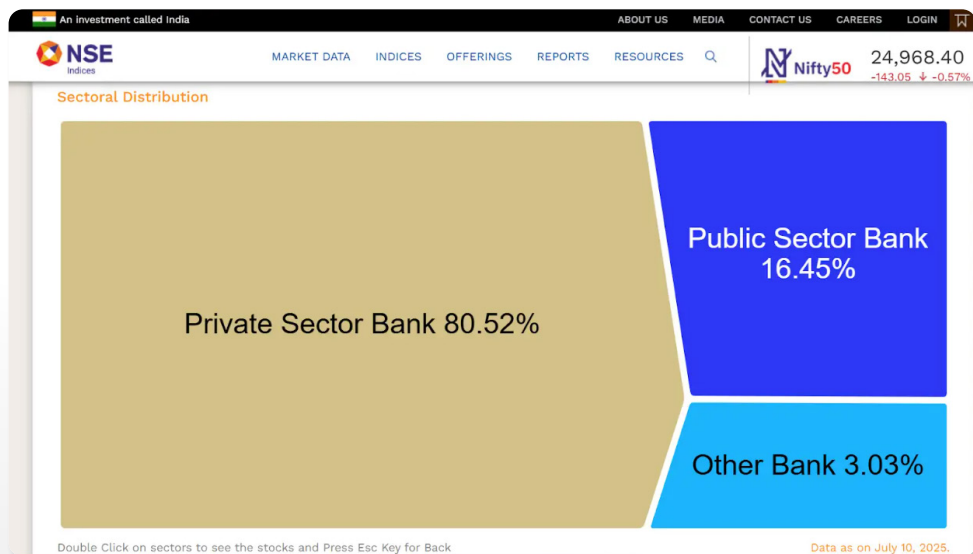


Image Source: <https://www.niftyindices.com/indices/equity/sectoral-indices/nifty-bank>

In Bank Nifty, HDFC Bank has a weightage approximately equal to the combined weightage of Kotak Bank, Axis Bank, and SBI. So, what if HDFC Bank is performing well, but any of these three banks experience a fall in stock prices? Bank Nifty might not go down. On the other hand, what if only HDFC Bank and ICICI Bank are going down, but all other banks in Bank Nifty are performing well? Bank Nifty will still go down.

[3]<https://www.equitypandit.com/list/banknifty-companies>